

Regulation Best Interest & Suitability Manual

1. Purpose

This manual governs how advisors evaluate and document that a recommendation is in the client's best interest before it is presented. It applies to all managed-account, advisory and brokerage recommendations firm-wide.

2. Best-Interest Standard

At the point of recommendation the advisor must have a reasonable basis to believe the recommendation is in the retail client's best interest and does not place the advisor's interest ahead of the client's. Cost, risk, and reasonably available alternatives must be considered and documented.

3. Supervisory Review Threshold

Recommendations with an estimated revenue impact or transfer value at or above \$50,000 require supervisory principal review before presentation. The reviewing principal must be independent of the recommending advisor's production credit.

4. Suitability Documentation

No managed account, advisory program, or discretionary mandate may be recommended without a current suitability assessment on file, dated within the preceding twelve months, capturing investment objective, time horizon, liquidity needs and risk tolerance.

5. Prohibited Representations

Advisors must not state or imply guaranteed returns, assured outperformance, or risk-free outcomes in any client communication. Comparative claims against named competitors require compliance pre-approval.

6. Record Retention

Recommendation rationales, suitability assessments and best-interest determinations are retained for seven years and must be producible within ten business days of a regulatory or internal audit request.